

INTA Practice Guides Report

Trademark Enforcement Guide

Brazil

SINGLE JURISDICTION REPORT

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I. Pre-filing Requirements/Demand Letters — A. Pre-filing Requirements/Demand Letters

- Although it is not mandatory to send a demand letter before instituting proceedings in this jurisdiction, it is common to send such a letter.
- Although it is not mandatory to attempt to settle with the other party before instituting proceedings in this jurisdiction, it is commonly done.
- It is neither mandatory nor common to engage in mediation or other alternative dispute resolution proceeding with the other party before instituting infringement proceedings in this jurisdiction. Though it appears that mediation is increasing in Brazil, especially as a result of the New Code of Civil Procedure, it is still not common to have a mediation proceeding before instituting proceedings. As per Article 165 of the New Code of Civil Procedure, "the Courts will create judicial centers of consensual solution of conflicts that shall be responsible for conducting the conciliatory and mediation hearings." According to this new law, mediation is a necessary step of the infringement proceeding, but please note that the court action would already have been filed at the time a mediation or ADR procedure is conducted, i.e., it is not a step prior to the institution of proceedings (though it can also take place "extrajudicially"). In addition, such provision still has not been fully implemented by the courts.
- Before initiating an infringement proceeding, a party is required to take the following actions: none. Before initiating an infringement proceeding, a party may take the following actions: none.
- The name for such a letter is: The name of such letter in Portuguese is "notificação extrajudicial" ("extrajudicial notice") and is commonly referred to as a "cease and desist letter" in English.
- Such a letter should be sent at the following time: Normally, the letter is sent as soon as the infringement is detected. There is no specific deadline for sending such letter, but it is necessary to observe and take into consideration the statute of limitations provided in Brazilian law for starting proceedings.
- Such a letter can be sent by: the owner of the mark; a licensee (A licensee (or its attorney) may send the letter, but in order to initiate proceedings it must provide evidence that the license agreement grants powers to the licensee acting against infringers alone, and such agreement must be recorded at the Brazilian Patent and Trademark Office (BPTO). A licensee (or its attorney) may send a letter, together with the owner of the mark.); an attorney for the owner of the mark (In this case, it is advisable to have a power of attorney from the owner of the mark. This is the most usual course of action.); an attorney for the licensee of the mark (A licensee (or its attorney) may send the letter, but in order to initiate proceedings it must provide evidence that the license agreement grants powers to the licensee acting against infringers alone and such agreement must be recorded at the BPTO. A licensee (or its

attorney) may send a letter, together with the owner of the mark.).

- Specific rules/customary practices applicable to such letters include: the form or content of the letter (see below); the reasonableness of the demand; allowing sufficient time for response.
- With regard to the form or content of the letter, the following details are commonly included: identification of claimant; details of alleged rights infringed; identification of objecting party's first use dates (This is helpful, but may not be included if the claimant is the owner of a registered trademark. The registration itself is fully enforceable.); identification of any trademark registrations owned by the objecting party; details of the alleged infringement; potential claims (other than infringement), e.g., damage claims or costs; time for response; consequences of not responding within the time set out in the letter; threat of legal action; request for undertaking, including obligation to pay contractual penalty for future infringement; request for summary of sales, revenues and/or profits derived from the use of the allegedly infringing mark (This can be requested, but it is not common, since it is difficult to obtain a damage payment by sending only a letter.); request for identification of customers and/or suppliers of products bearing the allegedly infringing mark.
- The consequences of not following the particular rules/customary practices listed above when drafting the letter are: The letter may not be very effective, i.e., it may not result in a favorable outcome for the claimant; it may be ignored.
- The length of time within which to allow the recipient to respond to the letter that is considered reasonable is: 10 days.
- The following factors are taken into consideration when determining the length of time that is considered reasonable: The urgency of the matter can lead to a determination that a shorter time is reasonable, while a complex matter can lead to determination of a longer time. Requests for extension of time to respond by the recipient of the letter are fairly common.
- The benefits of sending a demand letter before initiating infringement proceedings rather than immediately initiating proceedings without sending a demand letter include: avoidance of penalties or cost awards; may help ascertain that infringement was inadvertent; may help ascertain that alleged infringer is impecunious and not worth suing; may help ascertain whether alleged infringer has meritorious defenses; results may be achieved more quickly and at lower cost; may provide a basis for a claim of willful infringement; may be viewed favorably in litigation by decision maker, especially when granting a preliminary injunction; may lead to negotiations and avoid the need to commence proceedings.
- The potential consequences of sending such a letter include: provides grounds for an action for declaration of invalidity or non-infringement; the possibility of the recipient's initiating infringement proceedings based on alleged prior rights; the possibility of the recipient's initiating proceedings for unjustifiable threat of infringement; destruction of evidence; adverse publicity and/or adverse social media response; loss of the element of surprise, giving infringer time and opportunity to prepare a defense.
- Factors to consider if a demand letter is sent and proceedings for infringement are not initiated include: the claim may be barred by time limits or statute of limitations; the claim may be barred by delay or acquiescence (especially with regard to a possible preliminary injunction request); loss of credibility in enforcement actions.

II. Claim for Infringement of a Registered Trademark — A. Claim for Infringement of a Registered Trademark

- There is more than one court system or administrative body that has jurisdiction over claims for infringement of a registered trademark (see below).

- The court system or administrative body that most frequently hears claims for infringement of a registered trademark is: State courts.
- The other court system or administrative body that can also hear claims for infringement of a registered trademark is: Federal courts, but only when a claim includes cancellation of the infringing trademark registration.
- The following factors determine which court or administrative body can hear a case: nature of the right (This determines whether a State court or a Federal court will hear the claim.). Factors that can have an impact on the selection of which among the State courts may be chosen include: place of alleged infringement; place where alleged damage occurred; residence of plaintiff; and residence of defendant.
- The following parties have standing/authority to institute proceedings for infringement of a registered trademark: the registered proprietor of a mark; an exclusive licensee (the owner/registered proprietor must join in the proceedings); an exclusive licensee (the owner/registered proprietor need not join in the proceedings) (The licensee may file a court action alone only if the license agreement provides the power and such agreement is duly recorded at the BPTO.).
- If there is more than one registered proprietor/owner, they must all join in instituting the proceedings. Not applicable. The BPTO allows only one proprietor of a trademark registration.
- Trademark infringement proceedings are decided by a judge with no jury. Lower court decisions are issued by a single judge, while upper court decisions are issued by a panel of judges.
- The time limit for initiating trademark infringement proceedings is: 10 years, as determined by the Brazilian statute of limitations; however, five years is the term for claiming damages.
- Once infringement proceedings are initiated, the stages of the proceedings include: filing of claim (including presentation of facts and legal arguments); filing of reply/defense to claim; filing of counterclaim; filing of evidence; mediation (As per the New Code of Civil Procedure, mediation is applicable after the claim is filed when the first hearing is scheduled.); discovery; expert discovery; dispositive motions; preliminary motions (to dismiss, for preliminary injunction or temporary restraining order) (Preliminary injunctions are normally requested when filing the claim, but can be granted by the court when it deems that suitable (i.e., with or without first hearing the other side). As per the New Code of Civil Procedure, a preliminary motion can also be requested independently of the main claim.); filing of briefs/written arguments; oral hearing; oral testimony/examination of witness; trial; judgment/decision; hearing to determine appropriate remedies; damages (or other financial relief) assessment.
- The average amount of time from the instituting of infringement proceedings through the trial/final hearing is: more than two years. This can significantly vary according to the jurisdiction of the claim; a final hearing may take less than two years.
- The average amount of time from the end of the trial/final hearing to the issuance of judgment is: between six months and one year. This can vary significantly according to the specific judge; issuance of judgment can take from one month to one year or even longer in some cases.

III. Claim for Infringement of Unregistered Trademark/Unfair Competition/Passing Off — A. Claim for Infringement of Unregistered Trademark/Unfair Competition/Passing Off

- Unregistered trademarks are protected under the following laws: trademark statute; unfair competition statute.
- The following parties have standing/authority to institute proceedings for infringement of an unregistered trademark: the owner of the unregistered right; an

- exclusive licensee (the owner of the unregistered right must join in the proceedings).
- If there is more than one owner of an unregistered trademark, they must all join in instituting the proceedings. This is an unusual situation in Brazil (more than one owner of an unregistered trademark).
 - It is possible to institute a single proceeding for both registered trademark infringement (under the trademark law) and unregistered trademark infringement (under the law(s) listed above).

IV. Civil Enforcement-- Emergency Measures — A. Ex Parte Injunctions

- Ex parte injunctions are available to claimants seeking emergency relief.
- When applying for an ex parte injunction, it is not necessary to institute infringement proceedings at the same time. Preliminary injunctions normally are requested when filing the claim (instituting proceedings), but as per the New Code of Civil Procedure, a preliminary motion can also be requested independently of the main claim. It is also possible to apply for injunctions by filing preliminary proceedings, such as a search and seizure proceeding or a technical examination proceeding, which will require the filing of the main claim afterwards.
- The types of ex parte injunction available include: prohibitory (to prohibit the defendant from performing certain acts); mandatory (to require the defendant to perform certain acts).
- There is no specified statutory or court-determined deadline for seeking an ex parte injunction. The general 10-year term may apply, but it is possible to argue that in the case of a "continuous infringement" the trademark owner will always be able to act against the infringement. An ex parte injunction shall follow this same course; however, since it requires urgency in having the court's immediate support, such injunction shall not be granted if the infringement started long ago, independent of the regulations about the statute of limitations.
- A delay in applying for an ex parte injunction after becoming aware of the alleged infringing activities can prevent the applicant from obtaining the desired relief under the following circumstances: if the delay can be understood to show that there is no urgency in obtaining the injunction.
- The purpose of an ex parte injunction is: to restrain further infringing activities until trial or a further hearing; to prevent the consequences of an infringement or violation; to obtain or preserve evidence; to ensure the effectiveness of the eventual remedy; to preserve the status quo; to prevent irreparable injury; to protect the public interest.
- The strategic benefits of obtaining an ex parte injunction include: it may put an end to the infringement and litigation quickly; it may save costs; putting the defendant at a strategic disadvantage at the beginning of the case; obtaining or preserving evidence; ensuring the availability of the requested remedy; ensuring the availability of compensation for damages; getting an assessment of the merits by the court; reducing potential damage caused by infringement.
- The risks of seeking an ex parte injunction (if it is not granted) are: increased costs of the proceedings; early adverse determination; potential for a damages claim under the bond or cross-undertaking (if the injunction is applied for in bad faith); resolution of potentially dispositive issues on an incomplete or not-well-developed record.
- An ex parte injunction remains in place: until a decision is made in the main proceedings (unless the lower court itself modifies its initial decision or an appeal is filed and the upper court reverses the lower court's decision).
- The defendant is notified of the grant of an ex parte injunction: by the court.
- The procedure for applying for an ex parte injunction includes the following: motion; supporting memorandum/points and authorities of law; supporting

affidavits or declarations; supporting documentary evidence; posting bond, cross-undertaking or other security.

- The amount of the bond or cross-undertaking is determined based on: the potential damage/losses to the defendant caused by an improvidently entered injunction; statutory provisions.
- The factors considered in the granting of an ex parte injunction are: inadequacy of damages as a remedy; balance of convenience or hardships; i.e., consideration of the hardship to each side arising from the grant and from the denial of the injunction; whether the status quo should be preserved; likelihood of success on the merits; the public interest favors entry of the injunction; urgency; timeliness with which plaintiff sought the injunction; defendant's ability to pay awarded damages.
- The following forms of evidence are admissible in support of an ex parte injunction application: documents; affidavits; samples of infringing product.
- If the court later finds that the ex parte injunction was granted in error, the applicant will be required to: compensate the defendant for damages suffered (and duly proved) from the injunction if it is revoked and/or the action is finally dismissed.
- The cost of obtaining an ex parte injunction, including attorney fees and court costs (but not including the cost of a bond), is approximately: between USD 10,000 and 50,000.
- The costs of an ex parte injunction are recoverable as follows: Only those costs that are properly evidenced by the applicant can be recovered, such as payment of court costs. Professional fees paid by the applicant are normally not recovered. There are additional professional fees to be paid to the applicant's attorney at the end of the claim, once it is considered valid, and such fees are calculated at between 10 and 20 percent over the "value of the claim," i.e., the amount estimated by the applicant when filing the claim.
- On average, an ex parte injunction is issued within the following time period (counting from the filing of the application to the issuance of the injunction): between two and 10 days. This time estimate can vary significantly in either direction, depending on the jurisdiction, the complexity of the claim, etc.
- In an ex parte proceeding, a party may request an order to enter the premises of another party and to search for property/documents/items that may become evidence (i.e., a "search order" or "search and seizure order").
- The following party or parties will be present at the inspection: the marshal, sheriff or other law enforcement officer (Depending on the raid, support from police authorities may be required.); the party against whom the order is granted; the party's/parties' legal representative(s); the bailiff (court's official).
- In an ex parte proceeding, a party may not request an order to freeze the assets of another party to prevent dissipation of the assets before conclusion of the proceedings (i.e., a "freezing order" or "freezing injunction").
- The grant of an ex parte injunction can be appealed.
- Appeal of a decision granting an ex parte injunction cannot be expedited.
- The denial of an ex parte injunction can be appealed.
- Appeal of a decision denying an ex parte injunction cannot be expedited.

IV. Civil Enforcement-- Emergency Measures — B. Interim Inter Partes Injunctions

- Interim inter partes injunctions are available to claimants seeking emergency relief. Normally, interim inter partes injunctions take place when the court does not initially grant the ex parte injunction and determines that the infringer should respond to the claim before it decides about the ex parte injunction request. There is no specific procedure for an interim inter partes injunction, which is basically the same as the ex

parte injunction proceeding. Another possibility is that during the course of the claim a situation arises and the applicant needs a certain provision from the court on an urgent basis. In this case, an injunction can also be requested and granted.

- When applying for an interim inter partes injunction, it is necessary to institute infringement proceedings at the same time.
- The types of interim inter partes injunction available include: prohibitory (to prohibit the defendant from performing certain acts); mandatory (to require the defendant to perform certain acts).
- There is no specified deadline for seeking an interim inter partes injunction. The general 10-year term may apply, but it is possible to argue that in case of a "continuous infringement" the trademark owner will always be able to act against the infringement. An inter partes injunction shall follow this same course, and, in this case, the urgency/need for having an immediate remedy from the court can also arise during the course of the proceeding.
- A delay in applying for an interim inter partes injunction can prevent the applicant from obtaining the desired relief under the following circumstances: if the delay can be understood to mean that there is no urgency in obtaining the injunction.
- The purpose of an interim inter partes injunction is: to restrain further infringing activities until trial or a further hearing; to prevent the consequences of an infringement or violation; to obtain or preserve evidence; to ensure the effectiveness of the eventual remedy; to preserve the status quo; to prevent irreparable injury; to protect the public interest.
- The strategic benefits of obtaining an interim inter partes injunction include: it may put an end to the infringement and litigation quickly; it may save costs; putting the defendant at a strategic disadvantage at the beginning of the case; obtaining or preserving evidence; ensuring the availability of the requested remedy; ensuring the availability of compensation for damages; getting an assessment of the merits by the court; reducing potential damage caused by infringement.
- The risks of seeking an interim inter partes injunction (if it is not granted) are: increased costs of the proceedings; prejudicial adverse determination; potential for a damages claim under the bond or cross-undertaking (if the injunction is applied for in bad faith).
- An interim inter partes injunction remains in place: until a decision is made in the main proceedings, unless an appeal is filed and the upper court reverses the lower court's decision. until further order by the court.
- The procedure for applying for an interim inter partes injunction includes the following: motion, with notice to all parties; supporting memorandum/points and authorities of law; supporting affidavits or declarations; supporting documentary evidence; responsive memorandum/points and authorities of law; responsive affidavits or declarations; discovery; witness testimony; hearing; posting bond, cross-undertaking or other security.
- The amount of the bond or cross-undertaking is determined based on: the potential damage/losses to the defendant caused by an improvidently entered injunction; statutory provisions.
- The factors considered in the granting of an interim inter partes injunction are: inadequacy of damages as a remedy; balance of convenience or hardships; i.e., consideration of the hardship to each side arising from the grant and from the denial of the injunction; whether the status quo should be preserved; likelihood of success on the merits; the public interest favors entry of the injunction; urgency; timeliness with which plaintiff sought the injunction; defendant's ability to pay awarded damages.
- The following forms of evidence are admissible in support of an interim inter partes

injunction application:written witness statements;oral testimony of witnesses;documents;affidavits;samples of infringing product.

- If the court later finds that the interim inter partes injunction was granted in error, the applicant will be required to: compensate the defendant for damages suffered from the injunction. Damages must be evidenced by the defendant and must be requested in the same proceedings, at the end of the lawsuit.
- The cost of obtaining an interim inter partes injunction, including attorney fees and court costs (but excluding the cost of a bond), is approximately:between USD 10,000 and 50,000.
- The costs of an interim inter partes injunction are recoverable as follows: Only those costs that are properly evidenced by the applicant can be recovered, such as payment of court costs. Professional fees paid by the applicant are normally not recovered. There are additional professional fees to be paid to the applicant's attorney at the end of the claim, once it is considered valid, and such fees are calculated between 10 and 20 percent over the "value of the claim," i.e., the amount estimated by the applicant when filing the claim.
- It takes approximately the following length of time to obtain an interim inter partes injunction (counting from the filing of the application to the issuance of the injunction): between 30 and 90 days. As noted above, there are different situations when interim inter partes injunctions can be requested, and the timing can vary.
- In an interim inter partes proceeding, a party may request an order to enter the premises of another party to search for property/documents/items that may become evidence (i.e., a "search order" or "search and seizure order").
- The following party or parties will be present at the inspection: the marshal, sheriff or other law enforcement officer (Depending on the raid, support from the police authorities may be required.); the party against whom the order is granted; the party's/parties' legal representative(s); the bailiff (court's official).
- In an interim inter partes proceeding, a party may not request an order to freeze the assets of another party to prevent dissipation of the assets before conclusion of the proceedings (i.e., a "freezing order" or "freezing injunction"). This is normally possible after the court has issued a final decision admitting the claim and the plaintiff has already commenced the proceeding to collect damages that have been awarded.
- The determination on an application for an interim inter partes injunction can be made into a final decision on the merits (i.e., an interim inter partes injunction can be made permanent).
- The hearing on an interim inter partes injunction can be consolidated with the trial or final determination on the proceeding.
- Witnesses must be identified in an interim inter partes injunction proceeding before the hearing.
- The grant of an interim inter partes injunction can always be appealed without waiting for final disposition of the case.
- Further appeal of the grant of an interim inter partes injunction is always possible without waiting for final disposition of the case.
- Appeal of a decision granting an interim inter partes injunction cannot be expedited.
- The denial of an interim inter partes injunction can always be appealed without waiting for final disposition of the case.
- Further appeal of the denial of an interim inter partes injunction is always possible without waiting for final disposition of the case.
- Appeal of a decision denying an interim inter partes injunction cannot be expedited.

IV. Civil Enforcement-- Emergency Measures — C. Standards for Obtaining Inter Partes and Ex Parte Injunctions

- The standard for obtaining an interim inter partes injunction is the same as the standard for obtaining an ex parte injunction.

V. Early Resolution of Litigation — A. Interim Applications Available for Ending Proceedings Early

- A party can seek to end proceedings prior to trial or final determination by interim applications for: summary judgment (judgment as a matter of law when facts are undisputed).

V. Early Resolution of Litigation — B. Summary Judgment

- A party can conclude proceedings early by obtaining summary judgment in the following circumstances: there are no material factual disputes. The plaintiff and defendant may request an early decision of the claim, but accepting and rendering such decision earlier will depend on the court's determination of whether further evidence is required.
- Summary judgment can be requested by the following parties: plaintiff; defendant.
- The applicant for summary judgment must: make an application to the court; obtain permission of the court (The court must agree that further evidence is not required; this will normally depend on the agreement of the other side in the claim as well, i.e., if the plaintiff requests an early judgment but the defendant requests other evidence, the court is likely not to end the claim by issuing a decision, unless it considers the defendant's request unnecessary.).
- A ruling on a motion for summary judgment may always be appealed.
- A summary judgment may be appealed on the following grounds: the court improperly resolved disputes about material facts; the court made an error of law; new evidence is found after the issuance of summary judgment.

V. Early Resolution of Litigation — C. Trial of Preliminary Issue

- Proceedings can be expedited through an early trial or hearing on a preliminary issue under the following circumstances: This is a new possibility according to the New Code of Civil Procedure, which came into force in March 2016. Although expediting of proceedings is still not common, the new law gives the parties more flexibility in changing the regular proceedings and deadlines; therefore, it is possible to expedite proceedings through an early trial or hearing on a preliminary issue, provided both parties are in agreement with the course of action.
- Trial or hearing of a preliminary issue can be requested by the following parties: plaintiff (defendant must agree with the request); defendant (plaintiff must agree with the request).
- The applicant for trial or hearing of a preliminary issue must: make an application to the court; obtain permission of the court; obtain the agreement of the other party.
- For the court to grant a trial or hearing of a preliminary issue, the following conditions must be met: the determination of the preliminary issue is likely to have a beneficial impact on the conduct of the proceedings.

VI. Evidence — A. Evidence

- The following forms of evidence can be relied upon in support of a claim in this jurisdiction's trademark infringement proceedings: documentary evidence (including

samples/photos of allegedly infringing items);expert evidence;oral testimony;survey evidence.

- The following forms of evidence can be relied upon in defense of a claim in this jurisdiction's trademark infringement proceedings:documentary evidence;expert evidence;oral testimony;survey evidence.
- A claimant must present or give notice of any evidence on which it will rely at the commencement of the proceedings. All available evidence must be filed together with the claim. Further evidence is allowed when asked for by the court when initiating the probatory phase, and the claimant must justify the need for such further evidence, such as expert opinion. Normally, the parties request evidence by way of the court, but the judge can also request evidence if he/she deems it necessary and the parties have not requested it.
- A defendant must present or give notice of any evidence on which it will rely at the time of the initial response to the claim. All available evidence must be filed together with the initial response to the claim. Further evidence is allowed when asked for by the court when initiating the probatory phase, and the defendant must justify the need for such further evidence, such as expert opinion. Normally, the parties request evidence by way of the court, but the judge can also request evidence if he/she deems it necessary and the parties have not requested it.
- A party to the proceedings may obtain information that is within the possession or control of another party to the proceedings:at the request of the tribunal;at the request of the party.

VII. Trial/Oral Hearing — A. Trial/Oral Hearing

- Evidence may be presented at the trial or oral hearing in the form of: written witness statements (including, e.g., affidavits, depositions, or statutory declarations); oral testimony of witnesses; deposition; documents; surveys; physical objects; expert testimony.
- It is possible to introduce surveys in evidence for the following issues:secondary meaning/acquired distinctiveness;whether a mark is famous or well known;likelihood of confusion;dilution;genericness;functionality.All kinds of survey evidence can be accepted, provided a proper justification is provided by the party and the court agrees with the respective need. Surveys may also be enclosed as evidence when filing or responding to a claim.
- The use of survey evidence is subject to the following requirements: It must be conducted by a reliable, independent organization.
- The length of an average trial or final hearing in a civil action for trademark infringement is: It is usually conducted in the single period of one day; but this can vary.
- The nature of the proceedings is:inquisitorial, i.e., the decision maker controls the proceedings and the parties and their representatives have limited power.
- A trial or final hearing includes the following:discussion of factual issues and/or evidence;discussion of legal issues;questions to parties;statements of parties;settlement proposal of judges (Though settlement is normally discussed in a first mandatory hearing, it may also be discussed anytime in the proceeding if the parties so desire.).This will depend on the court, i.e., the court is free to discuss whatever it feels that it is missing.
- Witnesses are examined by:the judge;the lawyers.
- As part of trial preparation, the parties do the following:provide draft findings and conclusions if the proceeding is to be decided by a judge;provide a skeleton/outline of argument.Normally, preparation for the hearing is formally made before the hearing;

e.g., the names of witnesses are provided in advance, the exhibits are also filed, etc. In Brazil, new evidence cannot be submitted during the hearing unless unforeseen circumstances lead the party to request or present additional evidence at the time of the hearing; in this instance, the judge shall examine the request, and the other party shall have time to do the same.

VIII. Judgment/Final Orders — A. Judgment/Final Orders

- It takes approximately the following amount of time for a decision to be handed down after trial or final hearing: It is very difficult to estimate, because it depends on the complexity of the case, the jurisdiction and the judge. A general estimate of two months is reasonable, but the timing could be reduced or extended in some instances.
- The decision may be appealed within the following time frame: 15 days from publication of the decision.
- Appealing a decision is of right; no permission is needed.
- There is only one court to which an initial appeal can be made, which is: Normally, it would be the State upper court, since the majority of infringement proceedings are held at the State courts. If a case is filed at the State court circuit, the initial appeal must be made to the State upper court. If the case is filed at the Federal circuit, the initial appeal must be made to the Federal upper court.
- The appeal court reviews: both the facts of the case and legal issues.
- Further appeal is possible to the following court: the Superior Court of Justice and/or the Supreme Federal Court.
- Further appeal is not granted as a matter of right; permission is required.

IX. Post-Judgment Matters — A. Post-Judgment Matters

- A defendant has the following length of time to comply with an order issued in a judgment: Normally, the court will determine the length of time for the defendant to comply with an order. The New Code of Civil Procedure determines a 15-day term for payment of any amount owed by the defendant, from the time the defendant is specifically notified of this.
- A judgment may be enforced by way of the following proceeding(s): The defendant is personally notified by the court to comply with the judgment. For payment purposes, personal notification is not required; notification can take place through the defendant's attorney. If the defendant does not comply with the order, even if duly notified, the first option is to request payment of a daily monetary fine that is usually established in the decision for the purpose of forcing compliance with the court's determination. It is also possible to start a criminal proceeding for not complying. Other remedies may also be available, depending on the circumstances, such as search and seizure of products. For the collection of damages payment, a 10 percent penalty can be requested to recover the amount due, and it is possible to seize a sufficient amount of money from the defendant's bank accounts; otherwise, real estate or other valuable assets of the defendant may be seized.

X. Costs of Litigation — A. General

- The types of costs that may be recovered by the prevailing party during/after legal proceedings include: attorney fees (Attorney fees normally are not recovered, since the amount of attorney fees that is determined by the court and has to be paid by the party who loses the proceeding will belong to the attorney, and normally attorneys do not work in a proceeding for such amount only.); court fees; expert fees; bond or

security for costs; copying costs (for producing documents, in discovery, typically); costs incurred by a party or its witnesses (for travel, food, lodging or other expenses) (as provided in the New Code of Civil Procedure).

- A range for the all-inclusive cost of a typical action for trademark infringement from filing of the claim through trial is as follows: between USD 20,000 and 50,000.
- The successful party in a trademark infringement claim cannot expect to recover any of the attorney fees incurred (as distinguished from damages awarded).

X. Costs of Litigation — B. Security for Costs

- When initiating proceedings, a plaintiff may be required to provide security for any costs that may eventually be awarded against it.
- A defendant may be required to provide security for costs after proceedings are initiated.
- Application for security for costs is made via the following procedure: normally, a cash deposit in the court's account. It is also possible to engage an insurance company to cover this bond, but this is still not a usual procedure. Other possibilities may also be acceptable, but they can be more complex.
- For the court to grant security for costs, the following conditions must be met: the claimant is resident outside the jurisdiction (the claimant is a foreign company); there is reason to believe that the plaintiff will not be able to pay the defendant's costs if ordered to do so.
- An application for security for costs can be made at the following stage of the proceedings: Normally, it is made at the first opportunity to file any writ in court. This is usually at the initial response of the defendant.
- In granting security for costs, the court may make the following orders: the amount of the security; the time frame in which the security must be given.
- An order for security for costs may be appealed under the following circumstances: if considered unnecessary for any reason or excessive.
- If security is ordered, it is customarily provided in the form of: bond/payment to the court (not usual); third-party guarantee (not usual); cash (This is the most usual form.).

XI. Remedies — A. Remedies

- The following monetary remedies are available for trademark infringement: accounting of defendant's profits and actual damages (Plaintiff must choose between defendant's profits or plaintiff's actual damages.); it is possible to calculate damages also based on the amount of a license fee that plaintiff would charge for the licensing of the trademark.
- Actual damages are assessed using the following methods: lost profits of plaintiff; damages to plaintiff; constructive license fee/reasonable royalty.
- Where both damages and an accounting of profits are available and a party proves both, the party will receive both.
- Determination of the type and amount of remedy is part of the trial on liability only under the following circumstances: The type of remedy is normally determined by the lower court, but the amount is normally calculated in a separate proceeding that takes place once the decision becomes final.
- The following non-monetary remedies are available for trademark infringement: injunctions; delivery up of infringing labels, packaging or products; destruction; disposal; removal or obliteration; public dissemination of judgment (not usual); recall of infringing products (not usual); corrective advertising; identification of supplier.

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